



Something else Warsh said at Jackson Hole

August 31, 2026

Executive summary

Kevin Warsh used his first Jackson Hole address as Chairman to make an inflation-forward case, and the market heard it. Yields on two-year treasuries jumped 11 basis points on the day and the implied probability of a September interest rate hike jumped from 35% to 58%.

The longer-term implications for sovereign debt were less talked about. This piece looks at some of the deeper issues behind the megatrend of sovereign debt – particularly given Warsh’s interesting comment that “Trends matter most”. Indeed, our megatrend framework identifies sovereign debt as the most concerning negative trend facing developed economies over the medium term.

Yet, our proprietary data shows that people are more interested in the equity market than bond market. Unusually, that preference extends even to periods of economic uncertainty. Indeed, 28% of Americans would buy equities during periods of economic uncertainty while only 24% would buy bonds. In the UK, the same picture exists with figures of 25% and 18% respectively.

We have previously shown that since interest rates normalised in 2022, the number of Vix spike events per month has risen 51% versus the pre-covid level. More shocks are arriving into a market that is less willing to own the traditional shock absorber.

The question is whether the potential productivity gains from AI will substantially alleviate the negative weight of the sovereign debt burden in many developed countries. Our tech megatrend indicates this is possible, and so does history. However, for the optimistic scenario to eventuate, the positive impacts of AI on the economy need to accelerate further. That leaves the medium-term distribution of outcomes for sovereign debt wide and unusually asymmetric.

Something else Warsh said ...

The market reaction last Friday was focussed on the here and now. Warsh argued that "the responsibility for 65 months of sustained, elevated inflation sits squarely with the central bank", and remarked that “we have work to do” whilst pointing to PCE inflation running at 3.7% over twelve months and 4.1% over six. Markets moved the September probability materially higher and two-year yields jumped 11bps.

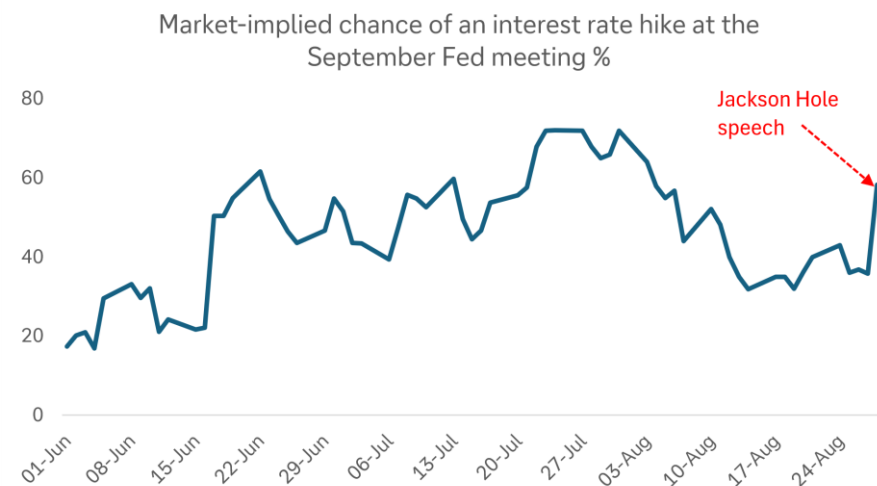
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Figure 1: An inflation-forward speech spiked the chance of a September rate hike



Source: Bloomberg Finance L.P., Deutsche Bank Research

Something else Warsh said received very little coverage – “Trends matter most”. It was easy to interpret this as referring to the current trajectory of short-term inflation. However, it is possible, and even likely, that he was referring to the Fed’s decision making around sovereign debt as a whole – across the short, medium and long term.

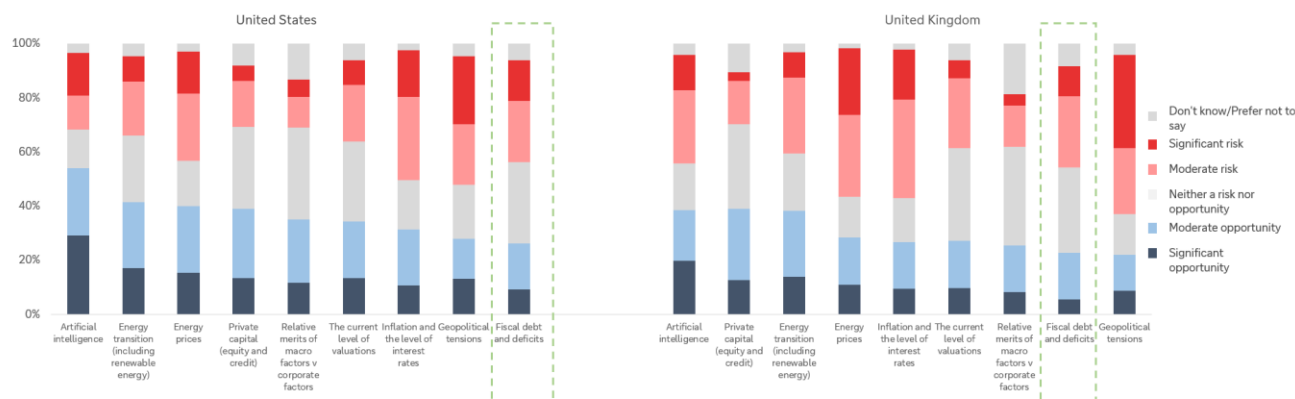
Indeed, the current situation of US sovereign debt and its trend is one of the key reasons why Treasury Secretary Bessent has previously said he wants to target the 10-year yield. The current buyback programme falls into line here. The key thing here is the credibility of the fiscal trajectory because, as future shocks arise, the way the bond market performs will affect broader portfolios.

Our worry is how investors view bonds

A proprietary survey from our dbDataInsights team found that the average person in the US and UK sees more opportunity in equities rather than bonds. First, when investors assess fiscal debt against other assets and themes, they see a lot of risk and fewer opportunities. The sell-off in bonds over the last 4 years (following a 40-year bull market) has certainly contributed.



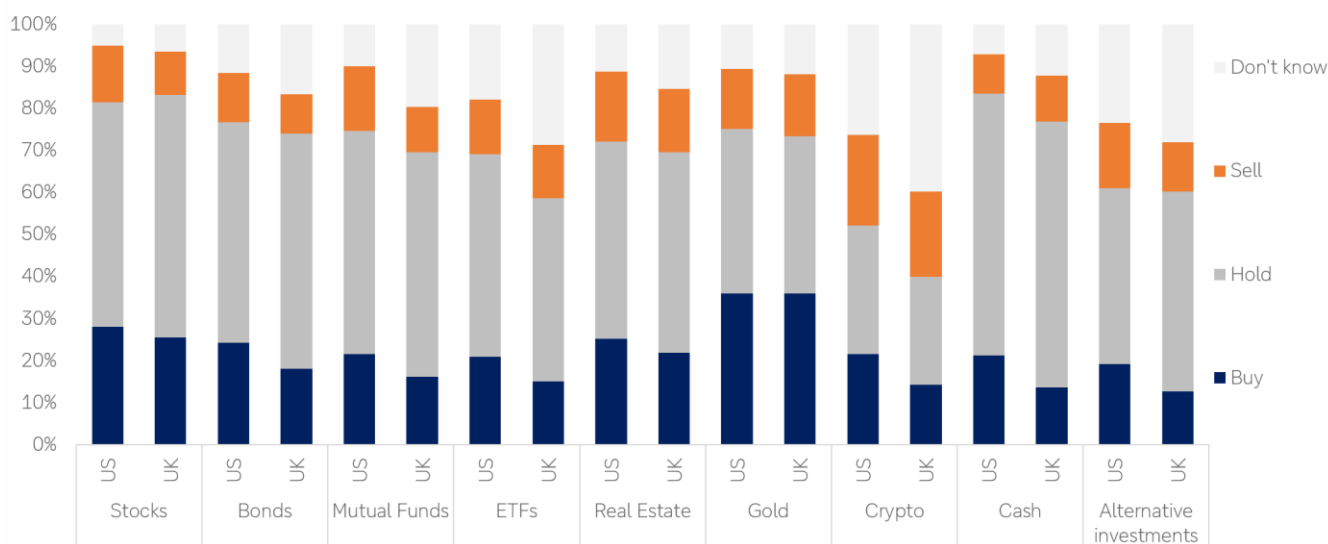
Figure 2: Survey question: "For each investment theme listed below, please indicate whether you perceive it as a risk or an opportunity for investors in 2026"



Source: dbDataInsights

Second, in times of economic uncertainty, investors are more likely to want to buy stocks than they are to buy bonds. This is a reversal of the textbook relationship between the two:

Figure 3: Survey question: "In any period of economic uncertainty, what do you think is the best strategy for each of the following investment asset categories?"



Source: dbDataInsights

This tilt away from bonds is not necessarily irrational. Since 2022, investors have found that bonds can lose significant value at the same time that equities fall. Our own work on haven assets shows that, since 2020, the combination of six traditional haven assets (gold, dollar, Swiss franc, yen, 10yr treasuries and bunds) has failed more often than it has worked, and it failed specifically during the four big shocks of the decade (Covid, rate rises, tariffs, Iran).



The worry into the medium term is whether investors continue to see the bond market this way as sovereign debt positions across most developed countries continue to worsen. That will affect investor portfolios given that bonds are supposed to be a counterpoint that rallies when everything else falls and avoids investors being forced to sell risk assets into weakness.

Why a less-loved bond market is a problem: uncertainty is rising

We have shown previously that since interest rates normalised in 2022, the number of VIX spike events per month has increased by 51% compared with the pre-Covid level. This follows from our broader megatrend framework that tells us that as interest rates have normalised in the 2020s, megatrends have re-emerged as a defining force in economies and markets for the first time since the 2008 financial crisis.

So, we have more shocks arriving, a haven complex that has been unreliable through the shocks we have already had, and an investor base that says it would rather buy equities than bonds when things become uncertain. That is a fragile configuration. It is also one in which the sovereign debt megatrend can do damage. That is, not through a gradual repricing, but through unpredictable sovereign debt sell-offs, particularly triggered by exogenous shocks and investor emotion.

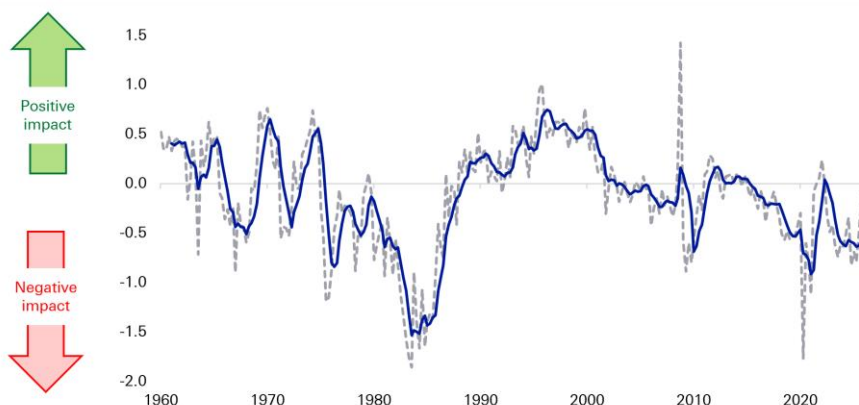
Sovereign debt is the most concerning megatrend in our framework

Our megatrend model tracks six global forces: technology, sovereign debt and deficits, geopolitics and globalisation, domestic politics and social discontent, demography, and energy disruption and transition. We use almost 100 data series aggregated into a quarterly indicator for each megatrend, all standardised so they can be compared and combined.

Of the six, sovereign debt is the one we are most concerned about. Indeed, our sovereign deficits indicator has been trending down for three decades. The deterioration is being compounded by demography: working-age populations are shrinking across most of the G20, which simultaneously weakens the revenue base and strengthens the claim on the spending side.



Figure 4: Our sovereign debt megatrend indicator and its impact on economies and markets



Source: Bloomberg Finance L.P., Haver Analytics, Factset, Deutsche Bank Research

In terms of where debt is heading, in the US, the CBO has public debt rising from around 100% of GDP to 120% by 2036, with deficits pushing over 6% of GDP. Most other developed economies face a version of the same problem. Aside from declining demographics, the deterioration in sovereign debt is interconnected with domestic politics and social discontent, and geopolitics.

Even our optimistic scenario only reaches neutral

We ran the sovereign debt megatrend forward to 2030 under baseline, optimistic and pessimistic scenarios. In the optimistic case – where AI adoption accelerates, productivity growth lifts materially, government spending contributes positively to GDP, and global demand for treasuries holds up – the indicator moves from having a clearly negative impact on markets and economies to having a broadly neutral one.

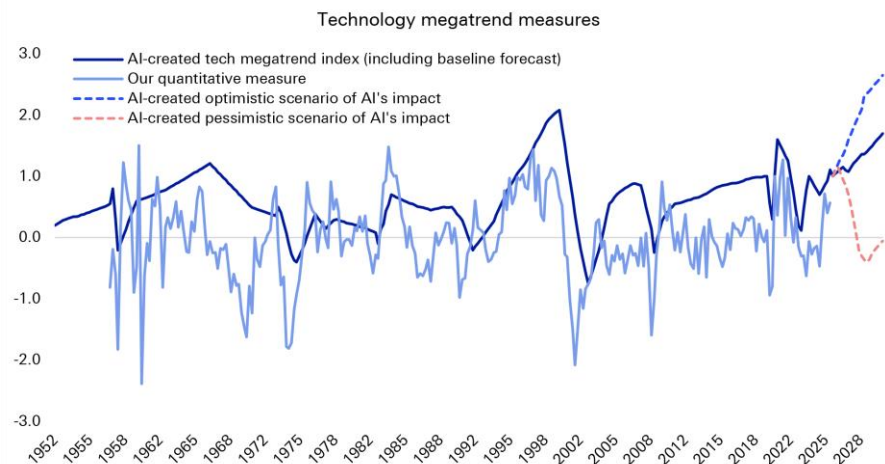
None of our scenarios move the sovereign debt megatrend materially into positive territory. That asymmetry should shape how the medium-term risk is positioned. The best realistic case for sovereign debt over the next five years is that it stops being a drag.

Can technology rescue us? Warsh asked the right questions

Technology is the one megatrend currently making a clearly positive contribution to global economies and markets. And our analysis points to AI being significantly more impactful than the internet of the 1990s. Indeed, whenever our technology indicator has accelerated to a peak, productivity growth has accelerated sharply behind it: to 3-4% for sustained periods in the 1990s. Our baseline has the indicator exceeding its 1990s peak by 2030, which implies productivity growth potentially above that range.



Figure 5: Should our tech indicator continue to climb as we expect, the implied productivity boost will go some way towards offsetting the worsening sovereign debt position.



Source: Bloomberg Finance L.P., Haver Analytics, Factset, Deutsche Bank Research

That is the escape route from the debt overhang and Chair Warsh's remarks included several references to this. He asked, "Will the application of AI cause a significant, sustained rise in productivity across the economy? He also pointed to the conversation between AI being "complementary or competitive to labour" He also asked, "Will the next generation of AI models demand even greater capital intensity, or will the models themselves help devise a capital-light solution?"

We would draw attention to the capital-intensity question in particular, because it has a bearing on sovereign debt. In the future, a capital-hungry AI build-out may compete with the government for savings at exactly the moment when the government's borrowing requirement is rising. The same technology can therefore either compound the sovereign debt problem in the near term or relieve it, depending on which way the question resolves.

Warsh is waiting for his task forces before committing to answers, and has said explicitly that their recommendations "will come later and have no bearing on decisions we make in the current policy conjuncture".

History says a bad sovereign debt position can be overcome

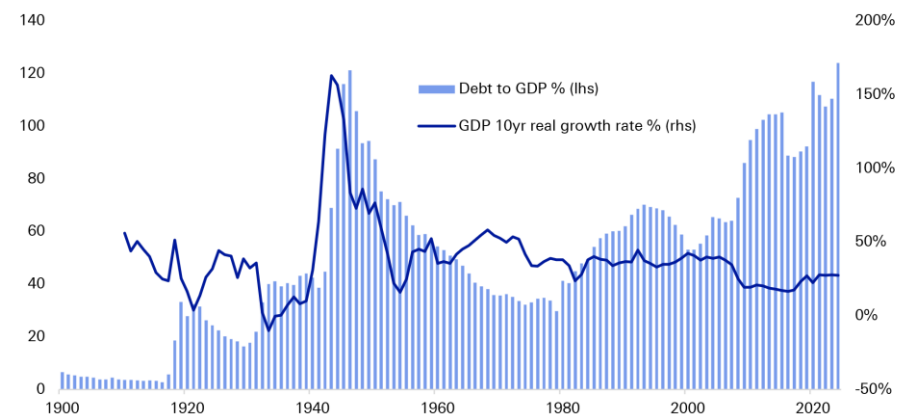
None of this is a prediction of crisis, and history is on the side of the optimists more often than the mood suggests.

The clearest parallel is the "Long Depression" in the US in the mid-1870s, which followed a financial crisis and investor fear at the overbuilding of railroads — a capital-intensive general-purpose technology financed enthusiastically and then abruptly distrusted. There was little government intervention and unemployment likely topped double digits. Yet towards the end of that decade the benefits of the railway technology began to feed through to the wider economy, several other trends including sovereign debt moved in a positive direction at the same time, and the result was startling economic growth. The post-war experience is the second example: the US emerged from the Second World War with debt



above 100% of GDP and then delivered thirty-five years of deleveraging alongside relatively strong growth.

Figure 6: US debt-to-GDP and GDP growth rate



Source: Fineon, Bloomberg Finance L.P., Haver Analytics, Factset, Deutsche Bank Research

The lesson from both episodes is that high debt can be overcome when the other megatrends pull in the same direction. After WWII, globalisation expanded quickly, domestic politics were comparatively stable, social discontent was low, and energy technology was a net positive. The debt burden was carried by other things going well.

Today, things are different. Technology is positive force on the medium-term outlook for the global economy and energy modestly so. However, the remaining four megatrends — sovereign debt, demography, domestic politics and geopolitics — are having a negative effect. Technology, therefore, has a lot of work to do.

What this means for portfolios

We would draw four conclusions for medium-term positioning.

1. Investors spent Friday trading the Fed but the more durable question is what compensation is required to fund a debt stock heading towards 120% of GDP, especially if the average person continues to see equities as more attractive than bonds, even in bad times.
2. Bonds and (safe) currencies can be risk assets at different times: We have flagged before that haven assets could become risk assets, and that treasuries and the dollar in particular will become more volatile if the sovereign deficits megatrend deteriorates further. The haven correlation data since 2020 shows that hedging becomes materially harder when the hedge is itself exposed to the trend being hedged.
3. Sovereigns are increasingly being judged on demographics and fiscal credibility: Yields of countries with ageing populations and no credible fiscal plan for the resulting dependency ratios will that come under increased volatility.



4. If AI delivers, the sovereign debt problem becomes manageable and the equity market carries the benefit. If it does not, there is no obvious hedge. That argues for genuine exposure to the productivity outcome, but also for scepticism about business models that require capital intensity to keep rising indefinitely. Warsh's capital-light question cuts both ways.

What we are watching

Three key sovereign deficit variables we are tracking (among others):

1. The contribution of government spending to GDP. A potential bright spot: this indicator has recently risen sharply. If that continues alongside greater AI adoption, there is a path to sovereign deficits becoming less of a drag.
2. The US 10-year yield versus the G7 average. Treasury yields have been higher than the G7 average for most of this century, but the gap has begun to shrink. Continued convergence would signal that global demand for treasuries remains strong, which in turn supports the resilience of the US twin deficits.
3. The fiscal policy uncertainty index. Turned deeply negative in 2024 and 2025, below the Covid lows. Subjective, but an important lead indicator for short-term market views — particularly during an exogenous shock, where it is the transmission channel into fear-based sell-offs.



Appendix 1

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